



Alu-Alu Command

Project viability - own funds & leverage

Revision 11
26 Jun 2026

KEY ASSUMPTIONS				RAW MATERIALS - chosen vendor		
Selling price	Rs 535/kg	Wastage	+6%	OPA	Vendor A	Rs 260/kg
RM incl wastage	Rs 440	Fixed assets	Rs 3.45 Cr	Aluminium foil 802	Hindalco	Rs 560/kg
RM stock	30 d	Finished goods	15 d	PVC	Vendor A	Rs 220/kg
Debtor days	90 d	Creditor days	10 d	Adhesive	blended	Rs 278/kg
Target ROI	30%	Interest	12%	Ideal RM cost / kg		
Tax	0%	Equity cap	Rs 8 Cr	add Std wastage		
				RM cost / kg (incl. wastage)		
				Rs 415/kg		
				+ 6.00%		
				Rs 440/kg		

RETURNS BY MONTHLY VOLUME (Rs Cr / year, grey = % of sales)

	25T	50T	75T	100T
PROFIT & LOSS				
Sales	16.05	32.10	48.15	64.20
Raw material	13.21 82%	26.42 82%	39.63 82%	52.84 82%
Fixed cost	1.72 11%	1.99 6%	2.31 5%	2.64 4%
Variable cost	0.42 3%	0.84 3%	1.26 3%	1.68 3%
Operating profit	0.70 4%	2.85 9%	4.94 10%	7.04 11%
less Interest on debt	0.24	1.02	1.81	2.59
Net profit (after int. & tax)	0.46 3%	1.83 6%	3.14 7%	4.45 7%
INVESTMENT				
Fixed assets	3.45	3.45	3.45	3.45
Working capital	6.58	13.09	19.60	26.11
Total capital employed	10.03	16.54	23.05	29.56
FUNDING WITH YOUR RS 8 CR EQUITY (balance = debt)				
RoCE (on capital)	7%	17%	21%	24%
Your equity	8.00	8.00	8.00	8.00
Debt to arrange	2.03	8.54	15.05	21.56
Debt : Equity	0.25:1	1.07:1	1.88:1	2.69:1
RoE (on your equity)	6%	23%	39%	56%

BREAK-EVEN - the floor you must clear every month (price Rs 535/kg)		
BREAK-EVEN VOLUME	BREAK-EVEN SALES	
20.5 T / month	Rs 1.10 Cr / mo	
20,517 kg / month	sell below this and the month is a loss	
Contribution Rs 81/kg (price - RM - variable)	Fixed Rs 16,55,000/mo	Safety +59% above breakeven

WHERE YOU STAND - YOUR Rs 8 CR ALONE

EQUITY FUNDS	SALES / MONTH	OPERATING PROFIT	RoCE ON EQUITY
17.5 T/mo max on own money	Rs 0.94 Cr	Rs -0.29 Cr per year	-3.6% target 30%

SINGLE-LEVER IMPACT - each applied alone to your equity, ranked by RoCE

Lever	WC freed	Max T	Sales/mo	RoCE	vs base
Base - today	-	17.5T	Rs 0.94	-3.6%	-
RM cost / kg -15 -> 425	Rs 0.04	17.7T	Rs 0.95	0.5%	+4.2
Fixed assets -0.75 Cr	Rs 0.00	20.4T	Rs 1.09	-0.1%	+3.5
Fixed cost -2 L/month	Rs 0.00	17.5T	Rs 0.94	-0.6%	+3.0
Debtor days 90 -> 75 d	Rs 0.62	19.9T	Rs 1.06	-0.7%	+2.9
Selling price / kg +10 -> 545	Rs -0.06	17.3T	Rs 0.94	-1.3%	+2.3
RM stock days 30 -> 20 d	Rs 0.32	18.7T	Rs 1.00	-2.1%	+1.5
Wastage 6% -> 5%	Rs 0.01	17.6T	Rs 0.94	-2.5%	+1.1
Foil credit days 0 -> 10 d	Rs 0.23	18.4T	Rs 0.98	-2.6%	+1.1
FG stock days 15 -> 10 d	Rs 0.16	18.1T	Rs 0.97	-2.9%	+0.7
Variable cost -0.5% of sales	Rs 0.00	17.5T	Rs 0.94	-2.9%	+0.7
Volume +15 T	needs +Rs 3.90 Cr funding	32.5T	Rs 1.74	9.8%	+13.4

GOAL CHECK - ALL TEN LEVERS APPLIED TOGETHER

Contribution	WC / tonne	Equity funds	Sales / mo	RoCE on equity
Rs 113/kg	Rs 0.19 Cr	27.6 T/mo	Rs 1.51 Cr	24.9%
Clears 30% on your own money?				NO - needs scale or debt

AT 50T SCALE (FUNDED WITH DEBT)

At 50 T/month, the same all-lever structure earns 40.8% RoCE on Rs 12.28 Cr of capital (operating profit Rs 5.01 Cr/yr). The levers lift returns, but reaching 30% comes from the 50T scale with debt - not from your equity alone.



Capital & monthly cost

Fixed assets, GST-blocked working capital & cost build-up - at 50 T/mo

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FIXED ASSETS (A) - Rs 3.45 Cr	WORKING CAPITAL (B) - Rs 13.09 Cr
AluAlu lamination machine1.25	GST-inclusive - cash blocked till collection
Slitting machine0.30	Raw material stockRs 2.56 Cr
Hot room / AHU HVAC0.25	RM 26.42 x1.18 GST x 30d/365
QC lab0.20	Finished goods & WIPRs 1.42 Cr
Epoxy flooring0.10	COGS 29.25 x1.18 GST x 15d/365
Adhesive mixture0.05	DebtorsRs 9.34 Cr
Cabins, electricals & furniture0.50	Sales 32.10 x1.18 GST x 90d/365
Doctoring machine0.10	less Creditors- Rs 0.23 Cr
Genset0.10	non-foil RM only x 10d (foil paid on advance)
Roll stand & rack0.10	Net working capital (B)Rs 13.09 Cr
Miscellaneous0.50	
Total fixed assetsRs 3.45 Cr	

GST note: the 18% GST on foil and RM is paid at purchase but recovered only when customers pay, so it stays blocked in RM stock, finished goods and debtors across the whole 135-day cycle - it is working capital, not a wash. Foil is bought on advance, so it earns no supplier credit.

MONTHLY COST BY VOLUME (Rs)				
	25T	50T	75T	100T
FIXED COST				
Marketing	1,50,000	2,00,000	2,50,000	3,00,000
Admin	2,25,000	2,50,000	2,75,000	3,00,000
Lamination machine	75,000	1,00,000	1,25,000	1,50,000
Production supervisor	75,000	75,000	75,000	75,000
QA	0	0	38,000	75,000
QC	50,000	50,000	50,000	50,000
Adhesive mixing operator	0	0	13,000	25,000
Slitting operator	20,000	30,000	40,000	50,000
Helpers	1,75,000	2,00,000	2,25,000	2,50,000
Electricity	1,50,000	2,00,000	2,50,000	3,00,000
Rent	2,00,000	2,00,000	2,00,000	2,00,000
Repair & maintenance	38,000	50,000	63,000	75,000
Other expenses	1,25,000	1,50,000	1,75,000	2,00,000
Contingency	1,50,000	1,50,000	1,50,000	1,50,000
Total fixed / month	14,33,000	16,55,000	19,29,000	22,00,000
VARIABLE COST				
Packaging materials	1,00,000	2,00,000	3,00,000	4,00,000
Transportation	1,00,000	2,00,000	3,00,000	4,00,000
Other expenses	1,50,000	3,00,000	4,50,000	6,00,000
Total variable / month	3,50,000	7,00,000	10,50,000	14,00,000
PER KILOGRAM				
Conversion cost / kg	Rs 71.32	Rs 47.10	Rs 39.72	Rs 36.00
RM cost / kg (incl. wastage)	Rs 440	Rs 440	Rs 440	Rs 440
Selling price / kg	Rs 535	Rs 535	Rs 535	Rs 535